Q.1 Which of the following cost is reported on the income statement as the cost of goods sold?

A. Period cost

B. Managerial cost

C. Product cost

D. Selling cost

Q.2 The income statement of a company shows earnings before interest & tax (EBIT) of Rs. 5,000 and interest 4,000. What would be the cash coverage ratio if depreciation is Rs. 3,000?

A. 1/2 times

B. 1.25 times

C. 3 times

D. 2 times

Q.3 Which one of the following financial statement shows the sources from which cash has been generated and how it has been spent during a period of time?

A. Balance Sheet

B. Owner's Equity Statement

C. Income Statement

D. Cash Flow Statement

Q.4 Balance Sheet is based upon which of the following formula?

A. Assets + Stockholder's equity = Liabilities

B. Assets = Liabilities + Stockholder's equity

C. Assets = Liabilities – Stockholder's equity

D. Assets + Liabilities = Stockholder's equity

Q.5 The accounting definition of income is:

A. Income = Current Assets – Current Liabilities

B. Income = Revenues – Current Liabilities

C. Income = Fixed Assets – Current Assets

D. Income = Revenues – Expenses

Q.6 Which of the following equation best represents Net Working Capital?

A. None of the given options

B. Current assets – current liabilities

C. Current liabilities – current assets

D. Current assets = current liabilities

Q.7 Which of the following is the primary issue while investing in financial assets?

A. Long-term cash flow a company needs to pay its bills

B. Short-term cash flow a company needs to pay its bills

C. Associated Risks & rewards

D. International Aspect of corporate finance

Q.8 The use of debt in the firm's capital structure is called:

A. Financial accounting

B. Financial modeling

C. Financial leverage

D. Accounting Liquidity

Q.9 In which form of business organizations, owners have limited liability?

A. Joint stock company

B. Partnership

C. Sole proprietorship

D. None of the above

Q.10 Mr. A has just recently started a business by investing a capital of Rs. 500,000. He will be the only owner of the business and also enjoy all the profits of the business. Which type of business is being employed by Mr. A?

A. Sole-proprietorship

B. Partnership

C. None of the given options

D. Corporation

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